Lancaster County OM Watch

Commercial Real Estate Market Intelligence | Industrial · Office · Retail

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INDUSTRIAL

VACANCY RATE	AVG ASKING RENT	RENT GROWTH (YOY)	INV. SALES (2025)
~1.5%	**$8.67/SF**	**~11%**	**$419M**
County avg; mfg. <1%	Warehouse avg $5.14/SF	South Central PA avg	Record 12-mo. volume

Lancaster County's industrial market remains the tightest in the South Central PA region, with a countywide vacancy rate of approximately 1.5% and manufacturing space tracking below 1% — well inside the regional I-81/I-78 Corridor benchmark of 7.2% and the national average of 9.6%. Developers delivered 1.1 million SF across four projects in 2025, with an additional 927,500 SF delivered in 2024; demand absorbed supply immediately, as evidenced by Panattoni's 400,000 SF East Hempfield spec build reaching full lease-up upon delivery. Dalfen Industrial's $29M acquisition of a 251,250 SF warehouse at 791 Stony Battery Road, Landisville (~$115/SF) was among the region's largest Q3 2025 trades. Average lease rates rose ~11% YOY. Supply constraints are severe: fewer than one development-ready industrial parcel per township exists within growth boundaries, and last-mile e-commerce demand continues to accelerate. **Data gap:** Submarket-level absorption figures for Manheim Township and Ephrata corridors not publicly available at time of publication.

OFFICE

AVG ASKING RENT	CLASS B / C	VACANCY RANGE	STOCK AGE
$20.10/SF	**$21.92 / $12.26**	**6%–23%**	**78.5%**
Class A: $23.00/SF	Per SF annually	Manheim Twp. to E. Lampeter	Built pre-2000

Lancaster's office market reflects national post-pandemic restructuring at a compressed local scale. Vacancy ranges sharply by submarket: Manheim Township, the county's premier suburban office node, records the lowest vacancy at 6.02%, while West and East Lampeter submarkets carry vacancies as high as 22.75%, consistent with obsolete stock suffering hybrid-work pressure. Average full-service asking rents of $20.10/SF compare favorably to the national suburban average and suggest a functional, affordable market for right-sized tenants. Notably, 78.5% of county office inventory was delivered before 2000 — creating both repositioning opportunities and ongoing obsolescence risk. The most significant recent addition is Lancaster Stockyard at 1280 N. Plum Street / 1310 Marshall Avenue, a 56,500 SF adaptive-reuse development representing the largest new office delivery in the city. Conversion of older Class C assets to mixed-use or residential remains an active trend. **Data gap:** Countywide net absorption figures for 2025 were not publicly available.

RETAIL

AVG ASKING RENT	NAT'L VACANCY	AVG UNIT SIZE	ABSORPTION (NAT'L)
$17.00/SF	**4.3%**	**3,639 SF**	**91M+ SF**
Lancaster city avg	Q4 2025; shopping ctrs 5.2%	35 active listings	Highest pace since Q2 2022

Lancaster County's retail market is demonstrating resilience driven by population growth, tourism infrastructure, and a diversified tenant base. Average asking rents in Lancaster city are approximately $17/SF annually — below the national Q4 2025 average of $26.13/SF — reflecting the county's affordability profile and suburban character. Nationally, the retail vacancy rate held at 4.3% for a third consecutive quarter, with shopping centers at 5.2%; Lancaster's local market is presumed to track near or below these benchmarks given population growth and limited new supply. The dominant trend locally is the continued shift from traditional goods-based tenants toward service, wellness, and experiential uses — fitness centers, salons, food & beverage, and healthcare — filling vacancies left by national chain rationalization. Lancaster Central Market, operational since the 1700s, anchors downtown retail vitality. National construction of new retail remains at its lowest since 2021, further supporting rent stability heading into 2026. **Data gap:** Lancaster County-specific retail vacancy and submarket absorption data is not publicly reported at the county level; figures above rely on national benchmarks and local listing data.

Market Outlook — Lancaster County CRE | 2026

Lancaster County enters 2026 as one of Pennsylvania's most supply-constrained industrial markets, with record investment volumes, minimal available land, and sustained rent appreciation positioning it as a regional outperformer. The office market faces a bifurcated path: well-located Class A/B suburban space will hold occupancy, while older suburban stock faces repositioning pressure or conversion. Retail fundamentals remain stable, supported by a growing population base, limited new supply nationally, and the continued shift to experiential and service tenants. Key risk factors include interest rate sensitivity on investment sales, tariff impacts on construction costs, and municipal land-use constraints limiting industrial pipeline. Overall market sentiment is cautiously optimistic, with industrial leading momentum.

SOURCES

ROCK Commercial Real Estate — Quarterly Market Reports · Bisnow — PA Industrial Markets: Investors Jump to Lancaster & Berks Counties (2025) · CommercialCafe / Yardi Research — Lancaster Office & Industrial Market Trends · CommercialSearch — Lancaster County Active Listings · Colliers — U.S. Retail Q4 2025 Vacancy Report · CommercialCafe — U.S. Industrial National Report (Feb 2026) · Cushman & Wakefield — Philadelphia/PA MarketBeats · Pennsylvania DCED / PIDA — Board Minutes & Loan Approvals (Nov 2025) · Shapiro Admin PIDA Loans — Berks & Lancaster Counties · Lancaster City Alliance — Development Activity · EDC Lancaster County · CityFeet — Lancaster PA Retail Space for Lease · Central Penn Business Journal — Industrial Vacancy Coverage · propertycashin.com — Lancaster Commercial Market Statistics 2025 · High Associates Ltd. — Lancaster Commercial Listings (LoopNet)